

**Time:** 5 minutes**Outcome:** Explain the slope and shifters of aggregate demand.**Difficulty:**

Intermediate

Aggregate Demand



THE CORE IDEA

Aggregate demand shows the total quantity of domestically produced goods and services demanded at each price level. It slopes downward because a lower price level increases the purchasing power of money balances, tends to reduce interest rates, and makes domestic goods relatively cheaper abroad. Consumption, investment, government purchases, or net exports can change for reasons other than the price level; those changes shift the entire aggregate-demand curve.



HOW TO RECOGNIZE IT

- At each price level, a rightward AD shift means more real GDP demanded.
- In the displayed graph, AD1 lies left of AD0, showing a decrease in aggregate demand.
- A lower domestic price level makes domestic goods relatively cheaper to foreign buyers.
- A rise in the price level reduces consumption because money holdings buy less.

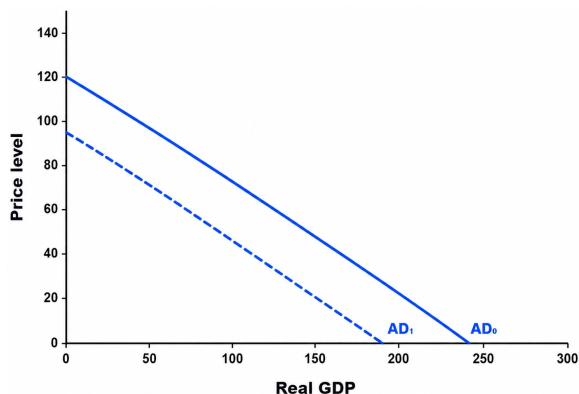


WATCH OUT

Do not confuse the three reasons aggregate demand slopes downward. A lower domestic price level can lower interest rates and the currency value, raising net exports.



WORKED EXAMPLE: A LEFTWARD SHIFT OF AGGREGATE DEMAND



A fall in planned consumption shifts aggregate demand left from AD₀ to AD₁. At a price level of 60, real GDP demanded falls from about 120 to about 70, a decrease of about 50 units. Spending changes at every price level, so this is a shift to a new AD curve, not movement along AD₀.



CHECK YOURSELF

What change from AD₀ to AD₁ is shown?

**READY?**

Return to the game and master this concept.